POL-004

Payment Services & Fraud Prevention Policy

Retail Banking | Digital Banking & Payments

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Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains KBC's obligations as a payment service provider and what every employee must do to protect customers from payment fraud, misdirected payments, and the growing threat of APP fraud.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

Contents

1. Introduction

Payments are at the heart of KBC's relationship with its customers. Every day, millions of transactions flow through KBC's systems. Customers trust us to process those transactions accurately, securely, and only when properly authorised. This policy explains how we honour that trust and what every employee is expected to do to protect it.

Payment fraud is one of the fastest-growing forms of financial crime. Criminals are sophisticated, persistent, and constantly finding new ways to exploit weaknesses in payment systems. KBC's defences rely on technology, process, and the vigilance and judgment of our people.

2. Who This Policy Applies To

This policy applies to all KBC employees involved in payment services, digital banking, fraud operations, customer service, and product management. It also applies to anyone who advises customers on payments or fraud prevention.

3. KBC's Role in the Payment System

KBC is a Payment Service Provider — we enable customers to send and receive money, manage direct debits, use their cards, and access their accounts via third-party apps. With that role comes significant responsibility: both to process payments correctly and to protect customers from harm. Every payment we process carries an implicit promise: that we have done everything reasonable to ensure it is genuine, accurate, and authorised.

4. Protecting Customers from Fraud

KBC uses real-time fraud detection systems that analyse every transaction and flag those that look unusual. High-risk transactions may be held for additional verification. Our fraud systems are updated regularly to reflect emerging criminal typologies.

Strong Customer Authentication — requiring customers to verify their identity using two independent factors before authorising a payment — is a fundamental control. Never advise customers to bypass or work around authentication steps, no matter how inconvenient they find them. These steps exist to protect the customer.

> **What is Authorised Push Payment (APP) fraud?**
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> APP fraud occurs when a criminal tricks a customer into willingly transferring money to an account the criminal controls — by impersonating a bank, a government body, or even a family member. Because the customer authorised the payment themselves, APP fraud is harder to detect. KBC has specific obligations to warn customers about this risk and to help them if they fall victim.

5. Verifying Who You Are Paying

One of the most important protections against misdirected payments and APP fraud is verifying that the account holder name matches the destination account. If there is a discrepancy, the customer must be informed before the payment proceeds. Customers should always verify payee details through an independent channel before sending large payments to a new beneficiary — never by calling a number provided in a suspicious message.

6. When Something Goes Wrong — APP Fraud

If a customer reports that they have been deceived into making a payment they did not intend, act quickly. Time is critical: the sooner the matter is escalated to our fraud team, the greater the chance of recovering the funds. KBC's responsibility in APP fraud cases depends in part on whether we provided adequate warnings at the time of the payment. Customer warnings for new payees and large transfers must always be displayed correctly and must never be suppressed.

7. Open Banking — Sharing Financial Data Safely

Open banking allows customers to share their financial data with authorised third-party apps and to authorise those apps to initiate payments on their behalf. KBC only permits access to customer accounts by properly authorised third parties with the customer's explicit consent. If you receive a query about third-party account access, ensure the third party is on the authorised register and that the customer's consent is properly documented.

8. Your Responsibilities

- Never advise customers to bypass authentication steps.
- Ensure customer warnings about new payees and high-risk transactions are presented clearly.
- Act quickly and escalate promptly when a customer reports suspected fraud.
- Only permit third-party account access where proper authorisation and consent are in place.
- Report any suspected weakness in payment controls immediately.

9. Getting Help

- **KBC Fraud Operations** — for urgent fraud incidents.
- **KBC Compliance Advisory** — for policy questions.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually and whenever there are significant developments in payment fraud or payment services regulation. It is currently under review.